3 KEY FINDINGS:

1. Low Order Completion Rate - Data Integrity Risk

Out of 50,000 orders in the Orders dataset, only 16,529 (33%) are marked as Completed. The majority are Pending or Cancelled. This inflates perceived demand but does not translate to revenue. The business appears to generate high order volume, but actual revenue comes from only one-third of orders. This creates confusion when calculating true revenue.

2. Product & Category Performance Concentration

Beauty is the highest-selling category and PROD0210 is the highest revenue product. STR003 is the best-performing store and South is the best region. December is the peak month. However, Home category has the highest return rate at 5.13%, with PROD0263 being the single most returned product (38 returns), indicating a quality issue.

3. Inventory Imbalance & Even Supplier Distribution

Inventory is not evenly distributed. STR011 has critically low inventory with only 9 items counted, risking stock-outs and lost sales, while other stores are well-stocked. On the supplier side, supply is perfectly balanced —every supplier supplies exactly 500 products, so there is no supplier dependency risk.

3 BUSINESS RECOMMENDATIONS:

1. Fix Order Management Process: Only log orders into the main sales data once they are Completed. Implement a separate pipeline report for Pending/Cancelled orders. Introduce automated follow-ups for Pending orders to increase completion rate from 33% to at least 60%.

2. Address Returns and Quality: Immediately audit PROD0263 and the Home category. The 5.13% return rate is eating into profit. Recommendation: Quality check, improve product description, and review supplier quality for home products. Remove or repackage PROD0263.

3. Optimise Inventory and Invest in Winners: Urgently restock STR011 to avoid lost sales. Reallocate inventory from overstocked stores. Increase investment in Beauty category, South region, and December holiday promotions (proven winners). Standardise discount strategy currently discounts vary inconsistently (10% Beauty/Grocery, 5% Home) across products and stores.

RISK IDENTIFIED:

Revenue Overstatement Risk: If management reports on total orders (50,000) instead of completed orders (16,529), they will overstate expected revenue by ~67%, leading to poor cashflow planning and over-purchasing of stock.

OPPORTUNITY IDENTIFIED:

High Potential for Conversion: There are over 33,000 Pending/Cancelled orders already in the system. If even 20% of these can be recovered through discount reminders or customer service follow-up, the business can double its revenue without acquiring new customers. Combined with focusing on Beauty category and South region during December, this is the fastest growth path.